

CAPITAL READINESS ASSESSMENT

# Loco Financial Technologies

An independent evaluation of investment readiness across commercial, financial, operational and legal domains — with a structured 18-month improvement roadmap.



## 01 Executive Summary

An investment-committee assessment of Loco Financial Technologies's readiness to absorb and deploy external capital.



### INVESTMENT-READINESS VERDICT

**Loco Financial Technologies is best matched to milestone-based catalytic funding and grants, with a clear 12–18 month path to debt or equity.**

Loco Financial Technologies recorded an overall Capital Readiness Score of 52% (Progressing). This report expands the summary assessment into a due-diligence-grade review across company, business model, market, financial, operational, legal and regulatory dimensions. For every finding it states the evidence reviewed, the missing evidence, the risk level and the recommended corrective action.

### Funding-instrument suitability

---

01 Executive Summary (continued)

| INSTRUMENT                | SUITABILITY | RATIONALE                                                                                              |
|---------------------------|-------------|--------------------------------------------------------------------------------------------------------|
| Grant funding             | Recommended | Suits early-stage capacity building and de-risking; least sensitive to the current gaps.               |
| Milestone-based catalytic | Recommended | Tranches released against verified readiness milestones; aligns directly with the improvement roadmap. |
| Debt                      | Not yet     | Requires reliable cash-flow, financial controls and clean legal standing before drawdown.              |
| Equity                    | Not yet     | Requires investor-grade financials, governance and a clean legal / IP position for due diligence.      |

INFORMATION REQUIRED FROM COMPANY

Financial, traction, cap-table and market figures are marked “information required from company” wherever primary evidence was not provided. Supplying the items in the Investor Data Room Checklist converts these into verified findings.

02 Company Profile

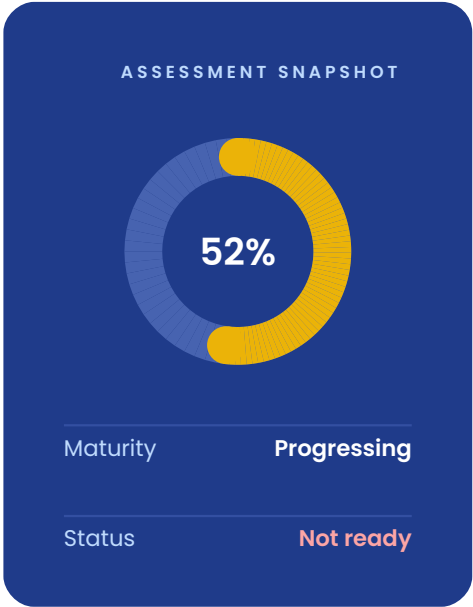
Who Loco Financial Technologies is, and the context of this capital readiness assessment.

COMPANY OVERVIEW

Loco Financial Technologies is a Financial Technology company operating in Tanzania. This report evaluates its readiness to raise external capital across four domains — commercial, financial, operational, and legal & compliance — using the Capital Readiness Assessment (CRAT) framework, and sets out the roadmap required to reach investment readiness.

AT A GLANCE

|                          |                     |
|--------------------------|---------------------|
| SECTOR                   | HEADQUARTERS        |
| Financial Technology     | Tanzania            |
| ASSESSMENT               | ASSESSMENT DATE     |
| Capital Readiness (CRAT) | 10 July 2026        |
| FOCUS                    | READINESS THRESHOLD |
| Investment Readiness     | 70%                 |



### 03 Assessment Methodology & Weighting

How the Capital Readiness Assessment (CRAT) is conducted and weighted.

#### Methodology

The assessment combines a structured entrepreneur self-assessment with independent reviewer scoring. Each question is scored on a 0–5 scale; where multiple reviewers score a question, the reviewer scores are averaged. Question scores are aggregated to domain scores and normalised to percentages. A 70% overall score is treated as the investment-readiness threshold. Findings are triangulated against supporting evidence; where evidence was not provided, the finding is flagged as requiring company information rather than assumed.

#### Domain weights

Domain scores are combined into the overall readiness score using the weights below. Weights reflect each domain's influence on an investor's capital-allocation decision and sum to 100%.

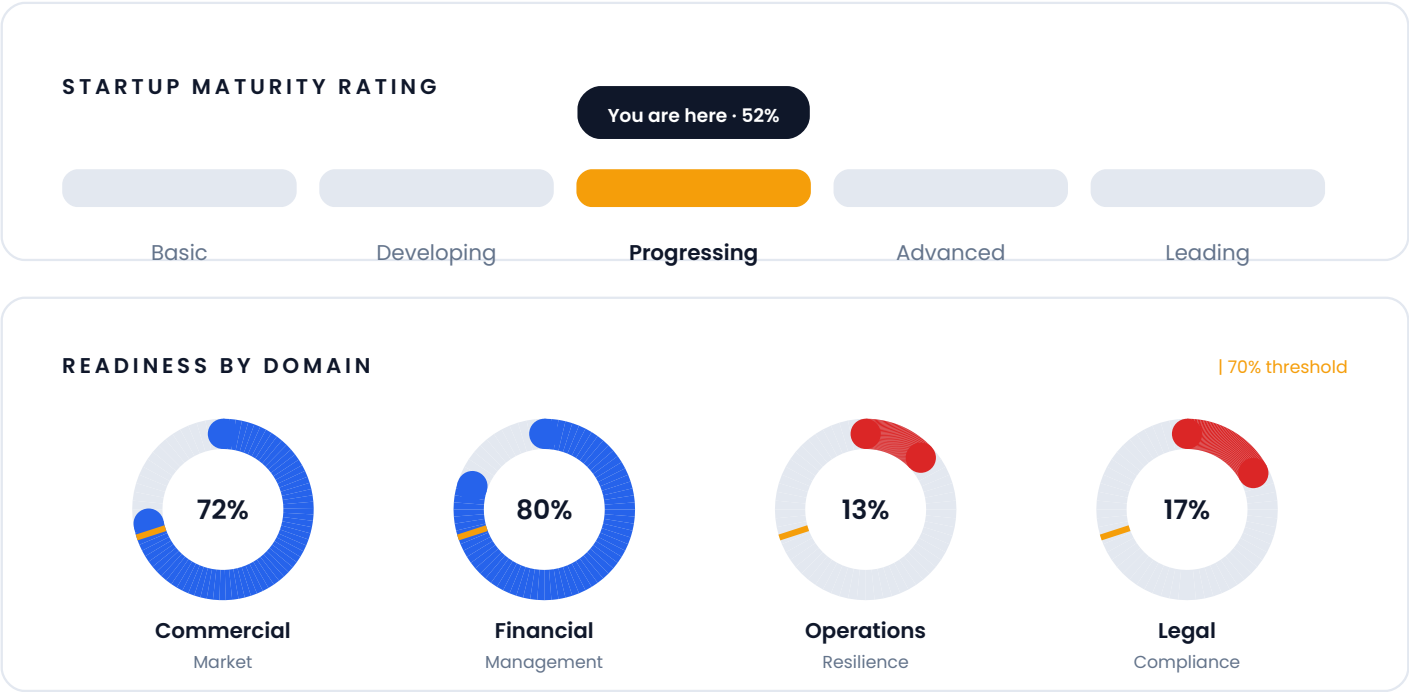
| DOMAIN               | WEIGHT | BASIS                                                                                                            |
|----------------------|--------|------------------------------------------------------------------------------------------------------------------|
| Commercial / Market  | 25%    | Revenue predictability and market traction underpin the investment case.                                         |
| Financial Management | 35%    | Highest weight: financial transparency, controls and reporting are the primary determinant of capital readiness. |

03 Assessment Methodology & Weighting (continued)

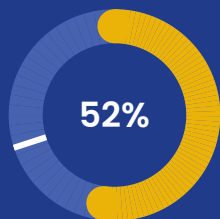
| DOMAIN             | WEIGHT | BASIS                                                                                      |
|--------------------|--------|--------------------------------------------------------------------------------------------|
| Operations         | 15%    | Delivery resilience and scalability; material, but lower leverage on the funding decision. |
| Legal & Compliance | 25%    | Compliance, licensing and governance are gating items for investor due diligence.          |

04 Overall Findings

Maturity level and readiness by domain, measured against the 70% threshold.



## 04 Overall Findings (continued)



### OVERALL READINESS

**52% · Progressing — Not yet investment ready**

Measured against a 70% investment-readiness threshold.

### READINESS LEVEL

Loco Financial Technologies achieved an overall Capital Readiness Score of 52%, placing it at the "Progressing" maturity level. Commercial and Financial are investment-grade. Operations and Legal carry the highest-risk capability gaps. Overall the business is not yet investment-ready; the sections that follow detail the thematic gaps, domain findings and recommended interventions.

## 05 Key Thematic Gaps

The defining capability gap in each domain, with a tailored read on what it means for investment readiness.

### Commercial / Market

72%

ON TRACK

Revenue is being generated, but the commercial engine still runs on informal, undocumented routines. There is no defined sales pipeline, market positioning is held tacitly rather than written down, and acquisition and retention are not measured. For investors this translates directly into uncertainty about how repeatable and predictable future revenue really is.

## 05 Key Thematic Gaps (continued)

### Financial Management

80%

ON TRACK

Core financial management is operating, but reporting and forecasting fall short of the standard investors expect during due diligence. Cash-flow is not modelled forward, records are not yet investor-grade, and management reporting lacks a regular cadence — all of which limit confidence in the numbers.

### Operations

13%

HIGH RISK

Operational delivery works at the current scale, but it depends on undocumented, person-dependent routines. Processes live in people's heads, key functions rest on individuals, and performance is not tracked against targets — which caps resilience and makes scaling risky.

## 05 Key Thematic Gaps (continued)

### Legal & Compliance

17%

HIGH RISK

Foundational legal structures are in place, but governance, contracts and compliance records are incomplete. Licences and agreements are not consolidated, compliance gaps remain open, and intellectual property and oversight are not fully established — the issues most likely to stall or derail investor due diligence.

## 06 Detailed Findings

Domain-by-domain observations recorded during the assessment.

### Commercial / Market

72%

Commercial capability was assessed across the sales process, market positioning, and customer acquisition and retention.

- › The sales process and revenue pipeline operate without documented stages, ownership or conversion tracking, which makes forecasting unreliable.
- › Market positioning and competitor intelligence are understood by the founder but are not documented or shared across the team.
- › Customer acquisition and retention run without measurable targets, so channel performance and churn cannot be actively managed.

## 06 Detailed Findings (continued)

### Financial Management

80%

Financial capability was assessed across record quality, management reporting, cash-flow forecasting and controls.

- › Cash-flow is not formalised into a rolling forward-looking model, leaving liquidity risk unmanaged as the business scales.
- › Financial records are maintained but are not yet investor-grade and have not been independently reviewed.
- › Accounting systems and management reporting lack the controls and monthly cadence investors expect.

## 06 Detailed Findings (continued)

### Operations

13%

Operational capability was assessed across process documentation, key-person dependency and performance management.

- › Core operating processes and standard procedures are not documented, so quality depends on specific individuals.
- › There is significant key-person dependency across critical functions, creating business-continuity risk.
- › Performance is not consistently tracked against defined KPIs, which limits operational visibility.

## 06 Detailed Findings (continued)

### Legal & Compliance

17%

Legal capability was assessed across registration, contracts, regulatory compliance, intellectual property and governance.

- › Licences, permits, contracts and governance records require review and consolidation into a single verifiable set.
- › Compliance gaps remain open that could delay or complicate investor due diligence.
- › Intellectual property is unregistered and formal oversight and decision-rights structures are not established.

## 07 Evidence Reviewed & Evidence Gaps

What was available to the assessment in each domain, and what must still be provided to verify the findings.

### Commercial / Market — assessed at 72% (on track).

LOW RISK

**EVIDENCE REVIEWED** CRAT self-assessment responses on sales, market and customers; reviewer scoring.

**MISSING EVIDENCE** Sales-pipeline export, pricing sheet, top-customer contracts, marketing plan, churn / retention data.

**RECOMMENDED ACTION** Provide the missing evidence for independent verification; without it the commercial score cannot be confirmed for due diligence.

### Financial Management — assessed at 80% (on track).

LOW RISK

**EVIDENCE REVIEWED** CRAT self-assessment responses on financial management; reviewer scoring.

**MISSING EVIDENCE** 12-month management accounts, cash-flow model, bank statements, revenue ledger, accounting-system access.

**RECOMMENDED ACTION** Provide the missing evidence for independent verification; without it the financial score cannot be confirmed for due diligence.

## 07 Evidence Reviewed & Evidence Gaps (continued)

### Operations — assessed at 13% (gap identified).

HIGH RISK

**EVIDENCE REVIEWED** CRAT self-assessment responses on operations; reviewer scoring.

**MISSING EVIDENCE** Process / SOP documentation, organisation chart, KPI dashboard, key-person and succession plan.

**RECOMMENDED ACTION** Provide the missing evidence for independent verification; without it the operations score cannot be confirmed for due diligence.

### Legal & Compliance — assessed at 17% (gap identified).

HIGH RISK

**EVIDENCE REVIEWED** CRAT self-assessment responses on legal & compliance; reviewer scoring.

**MISSING EVIDENCE** Certificate of incorporation, licences / permits, key contracts, IP registrations, board and governance records.

**RECOMMENDED ACTION** Provide the missing evidence for independent verification; without it the legal score cannot be confirmed for due diligence.

## 08 Regulatory & Compliance Matrix — Tanzania

Fintech regulatory obligations across BOT authorisation, AML/KYC, data protection and cybersecurity. Status must be evidenced by the company.

The matrix summarises the principal obligations for a Tanzanian financial-technology business. Each status is marked as requiring company evidence; the recommended action states how to close the gap and what documentation to supply to the data room.

| AREA                   | REQUIREMENT                                           | REGULATOR        | STATUS               | RECOMMENDED ACTION                                                       |
|------------------------|-------------------------------------------------------|------------------|----------------------|--------------------------------------------------------------------------|
| <b>Corporate</b>       | Company registration & annual returns                 | BRELA            | Information required | Provide certificate of incorporation and current returns.                |
| <b>Tax</b>             | TIN, VAT and tax filings                              | TRA              | Information required | Provide TIN, VAT status and latest filings.                              |
| <b>Payments</b>        | Payment-system / e-money authorisation (NPS Act 2015) | Bank of Tanzania | Information required | Confirm licence held or map the application pathway.                     |
| <b>AML/CFT</b>         | AML programme, CDD/KYC policy, FIU reporting          | FIU / BOT        | Information required | Adopt AML/CFT programme and CDD/KYC policy; register FIU reporting.      |
| <b>Data protection</b> | Registration & controls (PDPA 2022)                   | PDPC             | Information required | Register as data collector/processor; document data-protection controls. |
| <b>Consumer</b>        | Fair disclosure, pricing transparency, complaints     | BOT / FCC        | Information required | Publish terms, pricing and a complaints-handling procedure.              |

## 08 Regulatory & Compliance Matrix — Tanzania (continued)

| AREA                 | REQUIREMENT                                                   | REGULATOR      | STATUS               | RECOMMENDED ACTION                                                  |
|----------------------|---------------------------------------------------------------|----------------|----------------------|---------------------------------------------------------------------|
| <b>Cybersecurity</b> | Security controls & incident reporting (Cybercrimes Act 2015) | TCRA / TZ-CERT | Information required | Implement security policy, logging and incident-response reporting. |
| <b>Telecom</b>       | USSD / channel approvals (if applicable)                      | TCRA           | Information required | Confirm channel approvals for any USSD / telecom integration.       |

09 Financial Deep Dive & Unit Economics

The financial and unit-economics metrics required for a debt or equity decision.

The metrics below are the minimum set required to underwrite this business. Values were not evidenced in the assessment and are marked as required; the “why it matters” column states how each figure informs the funding decision.

| METRIC                          | VALUE                | WHY IT MATTERS                                      |
|---------------------------------|----------------------|-----------------------------------------------------|
| Revenue (trailing 12 months)    | Information required | Establishes scale and commercial traction.          |
| Recurring revenue (MRR / ARR)   | Information required | Indicates predictability of income.                 |
| Gross margin                    | Information required | Shows structural profitability of the core product. |
| Contribution margin             | Information required | Profitability after variable / delivery costs.      |
| Monthly burn rate               | Information required | Rate of cash consumption.                           |
| Cash runway (months)            | Information required | Time to zero cash at current burn.                  |
| Customer acquisition cost (CAC) | Information required | Efficiency of growth spend.                         |
| Lifetime value (LTV)            | Information required | Value generated per customer.                       |
| LTV : CAC ratio                 | Information required | Sustainability of the growth model (≥3x preferred). |

09 Financial Deep Dive & Unit Economics (continued)

| METRIC                               | VALUE                | WHY IT MATTERS                        |
|--------------------------------------|----------------------|---------------------------------------|
| CAC payback (months)                 | Information required | Speed of recovering acquisition cost. |
| Portfolio at risk / NPL (if lending) | Information required | Credit quality for lending fintechs.  |
| Cash balance                         | Information required | Current liquidity position.           |

# 10 Traction, Customer Metrics & Market

Demand evidence, customer economics and market sizing required to size the opportunity.

## Traction & customer metrics

| METRIC                           | VALUE                | EVIDENCE TO PROVIDE                        |
|----------------------------------|----------------------|--------------------------------------------|
| Registered users / accounts      | Information required | System export or dashboard screenshot.     |
| Active users (MAU)               | Information required | Analytics export for the last 6–12 months. |
| Month-on-month growth            | Information required | Time-series of users / revenue.            |
| Retention (M1 / M3)              | Information required | Cohort retention analysis.                 |
| Churn rate                       | Information required | Cohort churn analysis.                     |
| Transaction volume & value (GMV) | Information required | Transaction ledger summary.                |
| Repeat / reactivation rate       | Information required | Cohort behaviour analysis.                 |

## Market sizing

10 Traction, Customer Metrics & Market (continued)

| MEASURE                             | VALUE                | BASIS TO PROVIDE                   |
|-------------------------------------|----------------------|------------------------------------|
| TAM (total addressable market)      | Information required | Top-down market data with sources. |
| SAM (serviceable available market)  | Information required | Segment the company can serve.     |
| SOM (serviceable obtainable market) | Information required | Realistic 3–5 year capture.        |

11 Governance, Cap Table & Intellectual Property

Ownership, control and the protection of key assets.

Governance review

Board and governance structures are not yet evidenced as formalised.

HIGH RISK

EVIDENCE REVIEWED CRAT responses on leadership and governance.

MISSING EVIDENCE Board charter, board minutes, delegation of authority, committee terms of reference.

RECOMMENDED ACTION Formalise a board with clear decision rights, regular minuted meetings and basic committees.

Capitalisation table

| SHAREHOLDER | CLASS    | HOLDING              | NOTES                                       |
|-------------|----------|----------------------|---------------------------------------------|
| Founders    | Ordinary | Information required | Provide shareholders' agreement & register. |

11 Governance, Cap Table & Intellectual Property (continued)

| SHAREHOLDER | CLASS             | HOLDING              | NOTES                                 |
|-------------|-------------------|----------------------|---------------------------------------|
| Team / ESOP | Options           | Information required | Confirm option pool size and vesting. |
| Investors   | Preference / SAFE | Information required | Provide instruments and terms.        |
| Others      | —                 | Information required | Include any convertibles or grants.   |

Intellectual property

| ASSET                     | STATUS               | OWNER                | RECOMMENDED ACTION                                 |
|---------------------------|----------------------|----------------------|----------------------------------------------------|
| Company / brand trademark | Information required | Information required | Register trademark with BRELA / relevant registry. |
| Domain names              | Information required | Information required | Confirm domains are owned by the company.          |
| Source code / software IP | Information required | Information required | Ensure IP assignment from founders & contractors.  |
| Patents / trade secrets   | Information required | Information required | Document and protect proprietary methods.          |

## 12 Operational Controls & Technology / Data Governance

The controls that make delivery resilient and the technology and data foundations investors scrutinise.

### Operational controls

**Core processes and performance controls are not consistently documented.**

HIGH RISK

**EVIDENCE REVIEWED** CRAT responses on operations and quality control.

**MISSING EVIDENCE** SOP handbook, organisation chart, KPI dashboard, quality-control records.

**RECOMMENDED ACTION** Document critical processes, publish an org chart and stand up a KPI dashboard reviewed monthly.

### Technology & data governance

12 Operational Controls & Technology / Data Governance (continued)

Technology architecture and data-governance controls require verification.

HIGH RISK

**EVIDENCE REVIEWED** CRAT responses on data management and systems.

**MISSING EVIDENCE** System architecture diagram, access-control policy, backup & disaster-recovery plan, incident-response plan, data-processing register.

**RECOMMENDED ACTION** Document architecture; enforce role-based access, encrypted backups, tested DR and an incident-response procedure aligned to PDPA and the Cybercrimes Act.

## 13 Recommendations

Targeted capacity interventions to close the gap in each domain.

### Commercial / Market

72%

- Document the end-to-end sales process with defined stages, owners and conversion metrics, and review it monthly.
- Maintain a living market-positioning and competitor-intelligence brief that informs pricing and messaging.
- Adopt CRM-based pipeline tracking with explicit customer acquisition and retention KPIs.

## 13 Recommendations (continued)

### Financial Management

80%

- Implement accounting software and produce disciplined monthly management accounts.
- Build and maintain a rolling 12-month cash-flow forecast tied to the operating plan.
- Prepare investor-grade financial statements and arrange an independent review or audit.

## 13 Recommendations (continued)

### Operations

13%

- Document core processes and standard operating procedures for all critical functions.
- Reduce key-person dependency through delegation, cross-training and succession planning.
- Define operational KPIs and link them to a regular performance-management routine.

## 13 Recommendations (continued)

### Legal & Compliance

17%

- Review and consolidate licences, permits and key contracts into a diligence-ready pack.
- Close outstanding compliance gaps and formalise governance and oversight structures.
- Register intellectual property and document board composition and decision rights.

14 Improvement Roadmap (6 / 12 / 18 months)

Sequenced interventions with owners, deadlines, expected outputs and readiness-score targets.

Phase 1 — 0 to 6 months (stabilise)

| INTERVENTION                                            | OWNER              | DEADLINE | EXPECTED OUTPUT                 | SCORE TARGET     |
|---------------------------------------------------------|--------------------|----------|---------------------------------|------------------|
| Adopt accounting software & monthly management accounts | Finance Lead       | Month 3  | Monthly management accounts     | Financial 80 88  |
| Consolidate licences, permits & key contracts           | Legal / Compliance | Month 4  | Legal register                  | Legal 17 40      |
| Document core processes & SOPs                          | Ops Lead           | Month 5  | SOP handbook                    | Operations 13 35 |
| Stand up AML/KYC & data-protection policies             | Legal / Compliance | Month 6  | Approved policies + PDPA filing | Legal 40 50      |
| Populate the investor data room                         | CEO                | Month 6  | Virtual data room               | Overall 52 64    |

Phase 2 — 6 to 12 months (build controls)

## 14 Improvement Roadmap (6 / 12 / 18 months) (continued)

| INTERVENTION                                        | OWNER              | DEADLINE | EXPECTED OUTPUT                 | SCORE TARGET     |
|-----------------------------------------------------|--------------------|----------|---------------------------------|------------------|
| <b>Rolling 12-month cash-flow forecast</b>          | Finance Lead       | Month 9  | Board-reviewed model            | Financial 88 92  |
| <b>Deploy CRM &amp; pipeline tracking with KPIs</b> | Commercial Lead    | Month 9  | CRM + weekly pipeline reporting | Commercial 72 82 |
| <b>KPI / performance-management routine</b>         | Ops Lead           | Month 10 | Operational KPI dashboard       | Operations 35 55 |
| <b>Progress BOT / e-money licensing pathway</b>     | Legal / Compliance | Month 12 | Application submitted / held    | Legal 50 65      |
| <b>Reduce key-person dependency</b>                 | CEO / Ops Lead     | Month 12 | Delegation & succession plan    | Overall 64 76    |

### Phase 3 — 12 to 18 months (investor-ready)

| INTERVENTION                                      | OWNER                  | DEADLINE | EXPECTED OUTPUT         | SCORE TARGET    |
|---------------------------------------------------|------------------------|----------|-------------------------|-----------------|
| <b>Prepare audited financial statements</b>       | Finance Lead + Auditor | Month 15 | Audited accounts        | Financial 92 95 |
| <b>Formalise governance &amp; board oversight</b> | CEO / Board            | Month 15 | Board charter & minutes | Legal 65 78     |

14 Improvement Roadmap (6 / 12 / 18 months) (continued)

| INTERVENTION                             | OWNER              | DEADLINE | EXPECTED OUTPUT                   | SCORE TARGET     |
|------------------------------------------|--------------------|----------|-----------------------------------|------------------|
| Register IP (trademark, code assignment) | Legal / Compliance | Month 16 | IP certificates                   | Legal 78 85      |
| Strengthen cybersecurity & DR controls   | CTO                | Month 17 | Security policy, backups, IR plan | Operations 55 68 |
| Re-run CRAT & prepare for diligence      | CEO                | Month 18 | Updated report ≥ 80%              | Overall 76 88    |

## 15 Prioritisation

Quick wins are high-impact actions requiring fewer resources — sequence them first. Bold plays require more effort but deliver greater readiness gains.

### ● QUICK WINS

High impact · fewer resources · sequence first

1 Formalise financial records

2 Confirm licences & permits

3 Document core processes

## 15 Prioritisation (continued)

### ● BOLD PLAYS

Greater effort · greater readiness gains

- 4 Implement CRM pipeline tracking
- 5 Build a rolling cash-flow forecast
- 6 Prepare audited financials
- 7 Establish a governance structure
- 8 Register intellectual-property assets

## 15 Prioritisation (continued)

### SEQUENCING

Sequencing follows impact and investor relevance: stabilise the highest-risk domains first with the quick wins, then build the durable controls — CRM, audited financials, governance and IP — that carry the business past the 70% readiness threshold.

## 16 Investor Data Room Checklist

The documents required to move findings from “information required” to verified, and to support due diligence.

| CATEGORY   | ITEM                                             | STATUS     |
|------------|--------------------------------------------------|------------|
| Corporate  | Certificate of incorporation & statutory returns | To provide |
| Corporate  | Shareholders' agreement & share register         | To provide |
| Corporate  | Capitalisation table                             | To provide |
| Corporate  | Board minutes & resolutions                      | To provide |
| Financial  | 12-month management accounts                     | To provide |
| Financial  | Audited / independently reviewed financials      | To provide |
| Financial  | Rolling cash-flow forecast model                 | To provide |
| Financial  | Bank statements (12 months)                      | To provide |
| Financial  | Tax filings & TIN (TRA)                          | To provide |
| Commercial | Sales pipeline & customer contracts              | To provide |
| Commercial | Pricing schedule                                 | To provide |

## 16 Investor Data Room Checklist (continued)

| CATEGORY   | ITEM                                                             | STATUS     |
|------------|------------------------------------------------------------------|------------|
| Commercial | Traction & cohort metrics                                        | To provide |
| Legal      | Licences & permits                                               | To provide |
| Legal      | BOT / e-money authorisation                                      | To provide |
| Legal      | AML/KYC policy & procedures                                      | To provide |
| Legal      | PDPA registration & data-protection policy                       | To provide |
| Legal      | Key contracts & litigation summary                               | To provide |
| IP         | Trademark, domain & source-code IP assignment                    | To provide |
| Team       | Org chart, key CVs, employment contracts, ESOP                   | To provide |
| Technology | Architecture, security policy, backup/DR, incident-response plan | To provide |